MONASH HOLDINGS LIMITED

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LETTER TO MCC MEMBERS

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9 October 2026

Dear MCC Members

Update on the Monash Golf Course Lease

We are writing to update you on the future of the Monash Golf Course Property (Property) and its Lease to Monash Country Club (MCC).

The Monash Holdings Limited (MHL) Board sees itself as the guardian of a unique arrangement. We hold the Property for all MHL Securityholders and have a clear legal duty to act in their interests. We also hold it with deep respect for how "Monash Golf" began, its founders and custodians and the generations of members who have made it what it is.

Our task is to honour both. We want to do the right thing, and to leave an arrangement that is fair, secure and provides certainty for everyone involved.

Our approach: agreement, not dispute

The current Lease expires on 31 December 2026. MHL and MCC disagree on how long a renewed lease would run. MHL's legal advice is that it is 20 years (to 2046); MCC's view is 20 years plus a further 20-year option (to 2066).

The MHL Board does not want this resolved through lawyers and litigation. A legal dispute would be costly and harmful to the community that "Monash Golf" has served for generations. Nobody (except lawyers) benefits from that outcome.

Since December 2025, we have repeatedly and proactively sought to work with the MCC Board by establishing a dedicated MHL Lease Sub-Committee and proposing a joint working committee between MHL and MCC.

What the Board has offered

In seeking that balance, the MHL Board has proposed giving MCC the longer 40-year tenure it is seeking, while protecting the long-term interests of MHL Securityholders and addressing the legacy of "Monash Golf" (Proposal):

- **MCC Lease up to 40 years** – a new 20-year lease with a further 20-year option, to 2066.
- **MCC golf guaranteed for at least 10 years** – no change to MCC's use of the Property before 2036.
- **A Call Right only if strict Pre-Conditions are met** – after 2036, MHL could end the lease only if a rezoning and sale is achieved and MHL **delivers $35 million of value to MCC and MCC Members**, including sourcing and funded membership at alternative club(s) and an agreed legacy for "Monash Golf".
- **If the Pre-Conditions are not met, MCC continues its lease of the Property** for the full term of up to 40 years.

A philanthropic commitment – while MHL Securityholders should be entitled to a return of capital, we are also seeking to ensure a fixed minimum share of any net proceeds would go to community causes with MHL Securityholders having the option to direct some or all of their return to philanthropy.

Unfortunately, at this point, MCC has neither accepted nor actively engaged on the Proposal.

Informal feedback from a cross-section of MHL Securityholders gives us confidence the Proposal would be broadly supported.

The facts

We are aware there is some misunderstanding about MHL's intentions, and that some information in circulation is not correct.

As guardians of this arrangement, we want every MHL Securityholder to have the facts:

- **MHL has made proposals to MCC.** A first proposal in August 2025 and the current Proposal, presented in person on 25 February 2026 and enhanced and in greater detail in writing on 22 July 2026.
- **MHL has not spent any funds on exploring residential development of the Property.** We have not engaged consultants or approached any authority about rezoning, planning or development.
- **No major proposal for the Property will proceed without a vote of MHL Securityholders.**

- **The Proposal does not end golf on the Property in the near term.** MCC's use is assured until at least 2036, and potentially to 2066.
- **MHL makes no profit.** The Property is MHL's only real asset and leases it to MCC on a highly advantageous non-commercial "peppercorn" rental arrangement whereby MCC pay $0 per year plus MHL costs as rent.

Why the Board is acting now

In every scenario, MCC's occupation of the Property will eventually end, and MHL must then act in the best interests of MHL Securityholders – most likely through residential rezoning and development. The MHL Board believes it is better to agree a clear path now, while those who appreciate the legacies of "Monash Golf" and MHL are involved, than to leave the issue to the next generation of MHL Directors and Securityholders.

Where things stand

MCC has recently served several notices purporting to exercise its Lease renewal option. MHL has notified MCC that it does not accept the option has been validly exercised. As this is now with both parties' lawyers, unfortunately, we are unable to comment on it further.

Any legal proceedings do not change our commitment to an agreed outcome that respects both MCC and its Members, our duty to MHL Securityholders and desire to ensure a legacy for "Monash Golf". Our Proposal remains on the table, and we remain ready to meet with MCC to work through the Proposal at any time.

Yours sincerely

The Board of Monash Holdings Limited

APPENDIX

Background

1. MHL, the Property and the Lease

The MHL Board. The Board has a fiduciary duty to all MHL Securityholders and is governed by MHL's constituent documents and bound by the Lease. We recognise that the MCC Board must likewise represent the interests of MCC Members and is bound by the Lease. MHL Directors receive no fees, and some are MCC Members with long-standing family links to the founding of "Monash Golf". We see our role as one of stewardship: protecting MHL Securityholders' interests while respecting the purpose for which the Property was first acquired.

The Property. The Property is a 63.2 hectares site at Ingleside, in the Pittwater area of Sydney's Northern Suburbs. It is zoned predominantly RE2 Private Recreation, which permits its use as a golf course. Its value depends largely on whether it can be rezoned to allow residential development.

The surrounding area. Residential development is growing around the Property, and governments are seeking to increase housing supply. Mirvac's Wilga Street planning proposal for 536 dwellings, on land directly adjoining the Property, was recommended by the Sydney North Planning Panel on 22 June 2026 to proceed to Gateway Determination, having demonstrated strategic and (subject to changes) site-specific merit.

The Lease. The current Lease expires on 31 December 2026. It gives MCC an option to renew on satisfaction of certain conditions, including continued compliance with the existing Lease. The current terms are non-commercial ("peppercorn") and are not sustainable in the long term.

The Disagreement. If MCC validly exercises its lease renewal option, MHL's position, supported by legal advice, is that MCC is entitled to one new 20-year lease, ending 31 December 2046. MCC's position, which it claims is also supported by legal advice, is that it is entitled to a 20-year lease with a further 20-year option, ending 31 December 2066. **We are conscious that, under the Lease, the costs of any legal proceedings (for MCC and MHL) would ultimately fall on MCC and therefore its Members, which is another reason we want to avoid them.**

2. Our engagement with MCC

Over the past 14 months, MHL has put two proposals to MCC and sought to meet on multiple occasions. Until now we have kept these discussions confidential, but we believe MHL Securityholders now need to be fully informed.

Date	What happened
August 2025	MHL puts a first value-sharing proposal to MCC. MCC says it is difficult to understand, declines further discussion until the Disagreement is addressed, and says it no longer considers discussions confidential. MHL withdraws the proposal.
7 December 2025	MHL 2025 AGM. The MCC President, invited to present a recognition plaque to retiring MHL Chair Ilia Vilensky, makes offensive remarks strongly critical of the character of the MHL Board and its Directors. Immediately afterwards, MHL Directors proposed the establishment of a joint working committee to the MCC President and Vice President.
25 February 2026	MHL Lease Sub-Committee meets the MCC President and Vice President and presents a simplified, high-level Proposal.
3 March 2026	MCC's 2026/27 subscription notice to Members unfairly attributes increased annual subscriptions mainly to an MHL rent increase.
21 March 2026	MCC President's update to Members on the proposed 2026 rent and the status of the Lease. No mention of any Proposal.
1 April 2026	MCC Board update to Members setting out areas of conflict and proposed future actions. No mention of any Proposal is made.
12 April 2026	MCC AGM. Members are told no Proposal had been made by MHL, although the Proposal had been presented on 25 February.
6 July 2026	MCC Vice President advises MHL that the MCC Board has not accepted the $35 million offer, citing insufficient information and other concerns, requests further evidence, and tables a counter-proposal.
22 July 2026	MHL sends MCC the enhanced Proposal in greater detail in writing and responds to MCC's information requests. The Lease Sub-Committee meeting set for 23 July is deferred to give MCC more time; despite several attempts, it has not been rescheduled.

2 August 2026	MCC President says the written Proposal raises more questions than answers. MHL invites MCC to send a list of questions or meet around a table.
18 August 2026	MHL Director Antony Green meets the MCC President to explain the detail and rationale of the Proposal, and suggests the focus be on working through the Pre-Conditions together.
28 August 2026+	MCC serves notices purporting to exercise its renewal option. MHL notifies MCC that it does not accept the option renewal has been validly exercised. Series of legal letters between MCC and MHL.

At the 2025 MHL AGM, the MHL Board gave MHL Securityholders three undertakings, which remain true: MHL has spent no funds on exploring development of the Property; any major proposal for the Property will be put to a MHL Securityholder vote and be subject to their approval; and we expect MCC would also seek its Members' approval for any major proposal.

As far as we are aware, none of MCC's communications to its Members mentioned that MHL had put proposals to the MCC Board.

3. The Proposal in Detail

The Proposal is designed to give MCC and its Members around $35 million in value and continuity of golf, while still serving MHL Securityholders. Details remain to be refined with MCC and any agreement reached would be subject to legal review and approval.

A relevant example - Cranbourne. The MHL Board sees the 2024 Cranbourne Country Club transaction in Victoria as a model, though its ownership structure differs from MHL's. The property was sold to a residential developer, and Cranbourne members were offered a range of memberships, including immediate transfer to Huntingdale Golf Club. Funding enhanced Huntingdale, including Cranbourne legacy elements, and surplus proceeds went to Jewish community initiatives. We discussed this precedent directly with the MCC President and Vice President.

How it would work

1. **New lease.** MCC enters a renewed lease of 20 years with a further 20-year option, allowing occupation to 2066. Continue with highly advantageous lease to MCC with existing “peppercorn” rental arrangements.

2. **Rezoning at MHL's cost.** During the lease, MHL explores residential rezoning at its own cost. At no cost to MCC, MHL would begin the likely long process towards achieving a rezoning of the Property. MHL would need occasional access to the Property, which we do not expect to affect golf.
3. **10-year guarantee.** Rezoning and sale are uncertain and unlikely to progress for at least 10 years. MHL would therefore guarantee MCC's normal golf use until at least 2036.
4. **Working together.** MHL and MCC jointly explore continuity-of-golf options for Members and a legacy for "Monash Golf", within pre-agreed parameters.
5. **Pre-Conditions for the Call Right.** Only if a sale is achieved that delivers $35 million of value to MCC and its Members, including agreed options to move to other club(s), may MHL exercise its Call Right, and not before 2036.
6. **If the Pre-Conditions are not met**, MCC continues its lease in the ordinary course for the full term.

What MCC Members would receive

- $35 million of value, apportioned in agreement with the MCC Board.
- Up to 40 years' security of tenure if the Pre-Conditions (ie rezoning and sale and continuity-of-golf arrangements satisfied) cannot be achieved. Guaranteed use of the course for at least 10 years.
- Continuity-of-golf via funded membership at alternative club(s), covering joining fees and several years of subscriptions paid in advance.
- MHL and MCC negotiating together with other club(s) for continuous golf access and membership transfer. This upfront funding could make a major recipient club one of the wealthiest in Australia; MHL would ask that club to take on legacy and recognition elements, ideally including the continued use of the "Monash" name in a meaningful way.
- Other costs as identified by MCC.

What MHL Shareholders would receive and philanthropic commitment

MHL Securityholders have told us strongly that the benevolent origins of "Monash Golf" should be honoured, particularly given current community needs in areas such as security, health, aged care and education, and preventing antisemitism.

- After costs, including the $35 million to MCC and its Members, net proceeds from any sale would provide a return of capital to MHL Securityholders.

- The MHL Board is committed to directing a fixed minimum share of net proceeds to philanthropic purposes.
- Individual MHL Securityholders would also have the option to direct some or all of their return to philanthropy. The best structure for this is still being worked through.
- Any final Proposal is likely to require MHL Securityholder approval by vote.

4. MCC's response and current status

MCC's main concern regarding the Proposal raised to date has been whether MHL can satisfy the Pre-Conditions. We believe this is a question to work through together, and that either answer is a good outcome for MCC.

MCC's concerns. On 6 July 2026, MCC said it lacked sufficient information and evidence that MHL could achieve the Pre-Conditions and listed the information it needed to consider the Proposal further. MHL's written Proposal of 22 July responded to each item.

MCC's counter-proposal. MCC proposed that MHL be able to sell or develop some smaller areas of the Property that do not affect the course or its amenities, plus an annual contribution of $100,000 to nominated charities. MHL prefers to focus on its more comprehensive Proposal as a better path forward as it resolves the future of the whole Property and the "Monash Golf" legacy and provides clarity and certainty for all going forward.

Why the Pre-Conditions protect MCC. If MHL meets the Pre-Conditions, MCC Members receive $35 million in value, continuity of golf and a legacy for “Monash Golf”. If MHL does not, MCC keeps the Property for up to 40 years – the very tenure it is seeking – with the first 10 years guaranteed in any event.

Current status. MCC has since served notices purporting to exercise its lease renewal option, which MHL does not accept as valid. That matter is with the parties' lawyers. **The Board remains ready to meet MCC at any time to work through the Proposal.**